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UNION PACIFIC

Union Pacific Corporation

NYSE: UNP · United States · Railroads

US\$301.80

Close, 19 August 2026 · +US\$3.06 (+1.02%) on the day



Daily closing price, 19 May 2026 - 19 August 2026. Source: Alpha Vantage, daily equity time series (NYSE: UNP).

Executive Summary

Business

Union Pacific operates the largest Class I freight railroad by route miles in the western two-thirds of the United States, moving bulk, industrial and intermodal freight across a 32,100-mile network spanning 23 states. The railroad earns revenue by charging shippers for line-haul freight transportation, priced per carload or per container and subject to a fuel surcharge, across three commodity groups: Bulk (33% of 2025 freight revenue), Industrial (37%) and Premium (30%).¹ Its customer base is concentrated among large industrial, agricultural, chemical, automotive and consumer-goods shippers, together with intermodal marketing companies and international steamship lines that route containers inland from West Coast ports.

Financial Condition

Full-year 2025 revenue was US\$24.51 billion (+1.1% year-over-year), with reported operating income of US\$9.84 billion (40.1% operating margin) and net income of US\$7.14 billion (29.1% net margin).² Operating cash flow was US\$9.29 billion against capital expenditure of US\$3.79 billion, producing free cash flow of US\$5.50 billion (22.4% FCF margin). On a trailing-twelve-month basis through the second quarter of 2026, revenue was US\$25.41 billion and EBITDA was US\$12.88 billion.³ Net debt stood at approximately US\$29.1 billion as of 30 June 2026, equivalent to 2.3x trailing EBITDA.⁴

Market Position

Union Pacific's principal direct competitor for western U.S. long-haul freight is BNSF Railway (owned by Berkshire Hathaway); Canadian Pacific Kansas City and Canadian National provide cross-border and partial overlapping routes, while CSX and Norfolk Southern operate the eastern half of the U.S. rail network and interchange traffic with Union Pacific rather than compete head-to-head over most of its network. Union Pacific's principal structural advantage is its irreplaceable, fixed western rail franchise, which faces no realistic new-entrant threat given the cost and regulatory difficulty of constructing a competing line; its principal structural weakness is that roughly half of its freight volume touches a single interchange partner in the east, limiting Union Pacific's ability to offer single-line transcontinental service without Norfolk Southern or another eastern connection, the specific gap that its pending acquisition of Norfolk Southern is intended to close.

Valuation

At the 19 August 2026 close of US\$301.80, Union Pacific's calculated market capitalization is approximately US\$179.3 billion and enterprise value approximately US\$208.4 billion, implying a trailing P/E of 24.4x, EV/EBITDA of 16.2x (TTM) and P/FCF of approximately 27.6x (TTM).⁵ These multiples sit within the range of, and at a discount on EV/EBITDA to, the closest large-capitalization Class I peer set (CSX, Norfolk Southern, Canadian National, Canadian Pacific Kansas City), which trades between roughly 13.9x and 17.1x EV/EBITDA.

Investment Framework

WHAT IS ATTRACTIVE

A structurally protected, high-margin western rail franchise with a five-year average operating margin above 40%, disciplined pricing above rail-cost inflation, and a management team that has cut net debt/EBITDA from 2.8x (2023) to 2.3x (mid-2026) while still returning the large majority of free cash flow to shareholders.

WHAT IS CONCERNING	Revenue growth has been close to flat since 2022 (a cumulative +1.5% over three years), meaning most of the recent earnings growth has come from margin and buybacks rather than volume; the pending Norfolk Southern acquisition adds integration, financing and regulatory risk on top of an already capital-intensive base business.
WHAT MUST GO RIGHT	The Surface Transportation Board must approve the Norfolk Southern acquisition on terms that preserve the projected US\$2.75 billion of run-rate synergies, and the combined network must integrate without the service deterioration that has historically accompanied large rail mergers.
WHAT COULD BREAK THE THESIS	An outright STB rejection or a heavily conditioned approval that strips out synergies and forces divestitures or trackage-rights concessions to rivals, combined with a freight-volume recession that exposes the fixed-cost, operating-leverage nature of the business.
WHAT APPEARS PRICED IN	At 16.2x EV/EBITDA (TTM, standalone basis) the market is pricing continued double-digit-percentage operating margin resilience and a reasonable probability of Norfolk Southern deal completion, but is not yet crediting the full US\$2.75 billion synergy run-rate, which remains contingent on regulatory approval expected around mid-2027.

Investment Profile

BUSINESS QUALITY	High. Regulated, irreplaceable fixed-asset network with durable pricing power and a five-year average operating margin near 40%.
FINANCIAL QUALITY	High. Operating cash flow has exceeded net income in every year 2021-2025 (average 134% conversion), and leverage has been trending down since 2023.
COMPETITIVE POSITION	Strong regionally, structurally protected; two-railroad western duopoly with BNSF limits, but does not eliminate, competitive intensity on overlapping lanes.
GROWTH PROFILE	Low-single-digit organic; three-year revenue CAGR of roughly 1%, with volume growth concentrated in domestic intermodal and grain in 2026.
BALANCE-SHEET RISK	Moderate. Net debt/EBITDA of 2.3x (TTM) is manageable standalone but will rise materially if the Norfolk Southern cash consideration is debt-funded.
VALUATION	In line with peers on EV/EBITDA, at a premium on trailing P/E to Canadian National, reflecting both quality and merger-related uncertainty.
MARKET AND TECHNICAL PROFILE	Uptrend; the shares closed at US\$301.80, roughly 87% of the way through their 52-week range (US\$207.45-US\$315.99) and above both the 50-day and 200-day moving averages.

1. Union Pacific Corporation, Form 10-K for fiscal year 2025. 2. Union Pacific Corporation, Form 10-K FY2025; Alpha Vantage INCOME_STATEMENT. 3. Alpha Vantage COMPANY_OVERVIEW, trailing twelve months through 30 June 2026. 4. Calculated: total debt less cash and short-term investments, Form 10-Q for the quarter ended 30 June 2026, divided by trailing EBITDA. 5. Calculated using the 19 August 2026 closing price, shares outstanding per COMPANY_OVERVIEW, and balance-sheet data for the quarter ended 30 June 2026; see Section B3.

A. About the Business

A1. Business Environment

Union Pacific competes in the North American Class I freight railroad industry, a small, capital-intensive club of seven railroads (BNSF, Union Pacific, Canadian National, Canadian Pacific Kansas City, CSX, Norfolk Southern and Ferromex) that together move the large majority of North American rail freight ton-miles.¹ The industry's value chain runs from origin shippers (grain elevators, refineries, chemical plants, mines, automotive plants, ports) through the railroad's fixed network of track, yards, locomotives and rolling stock to destination shippers or intermodal transfer points, with revenue collected per carload, per container or per unit train.

The industry is capital-intensive to a degree matched by few other businesses: Union Pacific alone carried US\$60.7 billion of net property, plant and equipment on its balance sheet at year-end 2025 and spent US\$3.8 billion, or roughly 15% of revenue, on capital expenditure in 2025 alone, most of it maintenance capital required simply to keep the existing network in its current condition.² This capital intensity is also the industry's principal barrier to entry: no new Class I railroad has been built in North America in more than a century, and the combination of right-of-way acquisition cost, environmental permitting and the economics of duplicating an existing network make new-build competition effectively impossible.

Freight rail is economically sensitive to industrial production, agricultural export volumes, energy markets (particularly coal and, increasingly, crude-by-rail and frac sand) and consumer import volumes moving through West Coast ports as intermodal containers. Revenue is therefore cyclical around a structurally slow-growing volume trend: U.S. rail carloadings have been roughly flat to modestly declining over the past decade as coal volumes have shrunk and as trucking has taken share in shorter-haul, higher-value freight, partially offset by growth in intermodal and export grain.³ The industry is also economically regulated: railroad rates, service obligations, mergers and abandonments in the United States fall under the jurisdiction of the Surface Transportation Board (STB), which has final authority over whether Union Pacific's pending acquisition of Norfolk Southern may proceed.

Reasoned: the U.S. Class I rail industry is best classified as mature and consolidating. It is mature because aggregate volume growth has been low-single-digit to flat for more than a decade and the number of national-scale competitors has already fallen from more than 40 in the 1980s to seven today; it is consolidating because the pending Union Pacific-Norfolk Southern combination, if approved, together with the 2023 Canadian Pacific-Kansas City Southern merger, would leave the continent with essentially two transcontinental rail systems (a Union Pacific-Norfolk Southern network and a BNSF-eastern-partner network, or a market structure in which CSX becomes a probable subsequent consolidation target).

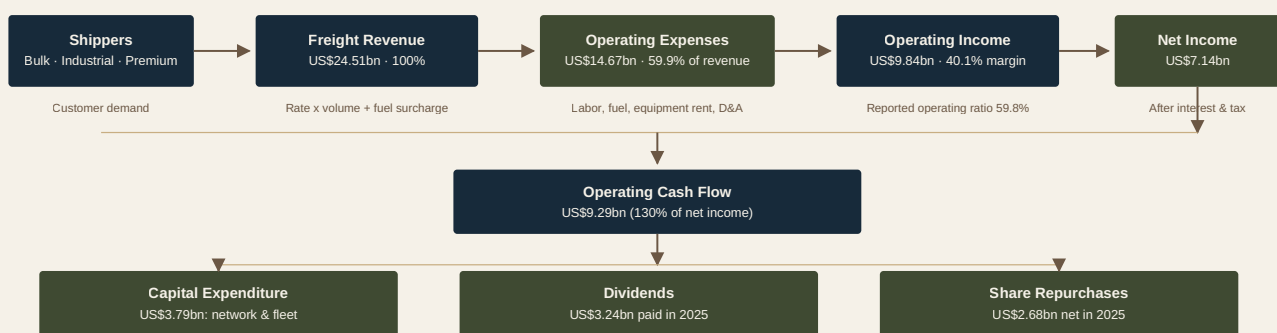
A2. What Does the Company Do?

Union Pacific Railroad operates approximately 32,100 route miles of track across 23 western and central U.S. states, connecting all six major Mexico gateways and the Pacific Northwest, California and Gulf Coast ports to the Midwest and to interchange points with eastern railroads at Chicago, St. Louis, Memphis and New Orleans, among others.⁴ The railroad organizes its freight revenue into three commodity groups. Bulk (33% of 2025 freight revenue) covers grain and grain products, fertilizer, food and refrigerated goods, and coal and renewables, and is typically moved in unit trains under multi-year contracts. Industrial (37%) covers industrial chemicals and plastics, metals and minerals, forest products, and energy and specialized markets, generally moved in carload or manifest service. Premium (30%) covers finished automobiles, automotive parts, and domestic and international intermodal containers, the fastest and most service-sensitive part of the network.⁵

Pricing is a mix of multi-year contracts (common in bulk unit-train business, particularly coal and some agricultural movements), tariff and negotiated rates for carload traffic, and intermodal pricing that competes directly against long-haul trucking on cost-per-mile. A fuel surcharge, indexed to diesel prices, is layered on top of the base rate on most traffic and is a pass-through rather than a margin driver, though it mechanically affects reported revenue and reported operating-ratio comparisons when diesel prices move sharply, as they did in the second quarter of 2026.⁶ The overwhelming majority of Union Pacific's revenue is recurring in the sense that it derives from repeat shipments by long-standing industrial and agricultural customers rather than one-off transactions, though it is not contractually recurring in the way a subscription business is.

Operating costs are dominated by four items: compensation and benefits for a unionized, safety-sensitive workforce; fuel; equipment and other rents (including leased freight cars and locomotives, and payments to other railroads for use of their track); and depreciation on the large fixed-asset base. Because most of these costs are either fixed or scale less than proportionally with volume, the railroad exhibits significant operating leverage: incremental freight moved on an already-built network carries a high contribution margin, which is the central economic logic behind "precision scheduled railroading" (PSR), the operating philosophy of running fewer, longer, more reliably scheduled trains with less idle equipment and fewer yards, which Union Pacific and its Class I peers have pursued over the past decade to compress operating ratios.

Where a dollar of freight revenue goes (illustrative, based on FY2025 reported cost structure)



Capital allocation, or the use of a dollar of Union Pacific freight revenue, FY2025. Source: Union Pacific Corporation, Form 10-K FY2025 and Form 10-K cash flow statement; Alpha Vantage INCOME_STATEMENT / CASH_FLOW. Figures reported; percentages calculated.

Reading the diagram, the two most economically important levers in the model are the operating ratio (operating expenses as a percentage of revenue, 59.8% reported in 2025) and the allocation of operating cash flow between reinvestment (capital expenditure, roughly 41% of 2025 operating cash flow) and shareholder distributions (dividends and buybacks, roughly 64% of 2025 operating cash flow combined). Because Union Pacific's network is already built, incremental volume converts to cash at a high rate, and management's capital-allocation choices, rather than revenue growth, have been the primary driver of per-share value creation over the past five years, evidenced by a 9.4% reduction in shares outstanding between year-end 2021 and year-end 2025 even as net debt was roughly flat.

A3. Business and Relationship Network

Union Pacific's ecosystem is defined less by conventional suppliers and more by interchange partners, regulators and large concentrated shippers, reflecting the network nature of the rail industry.

- **Interchange partners (east):** Norfolk Southern, CSX, Canadian National and Kansas City Southern-heritage lines (now CPKC) receive and hand off freight at Chicago, Memphis, New Orleans and St. Louis gateways; Norfolk Southern is by far the most important of these and is the subject of Union Pacific's pending acquisition.

- **Interchange and connecting partners (Mexico):** Union Pacific connects to all six major U.S.-Mexico rail gateways, interchanging with Mexican carriers (including Ferromex, in which BNSF and Grupo México hold interests) to move cross-border industrial and automotive freight.
- **Major shipper industries:** agricultural exporters and grain elevator operators, coal producers and electric utilities, chemical and plastics manufacturers along the Gulf Coast, automakers (finished-vehicle and parts logistics), and intermodal marketing companies and ocean carriers moving containers inland from West Coast ports.
- **Equipment and infrastructure suppliers:** locomotive manufacturers (Wabtec, Progress Rail/Caterpillar), railcar lessors and manufacturers, and rail and tie suppliers; fuel is sourced from the wholesale diesel market and substantially hedged/surcharged through to customers.
- **Regulators and industry bodies:** the Surface Transportation Board (economic regulation, rates, mergers), the Federal Railroad Administration (safety), and the Association of American Railroads (industry coordination and standards).
- **Labor:** the workforce is represented by more than a dozen craft-based unions under national and local agreements negotiated across the industry, making labor relations and national bargaining outcomes a shared, industry-wide risk factor rather than a Union Pacific-specific one.
- **Pending combination:** Norfolk Southern Corporation, which Union Pacific has agreed to acquire in a cash-and-stock transaction to create the first single-line transcontinental U.S. railroad, subject to Surface Transportation Board approval expected around mid-2027.

Each relationship matters economically for a different reason. Interchange partners determine whether Union Pacific can offer competitive transcontinental service without owning eastern track; regulators determine both the ceiling on pricing power (through the STB's revenue-adequacy and rate-reasonableness framework) and whether the Norfolk Southern transaction can close; and labor agreements set a cost base that is largely outside any single railroad's unilateral control, which is why Class I operating-ratio improvement over the past decade has come primarily from scheduling and asset-utilization discipline (PSR) rather than from labor-cost reduction.

A4. Competition

Union Pacific does not compete against a broad field of similar companies; it competes against a small number of other fixed-network railroads for the same shippers, against long-haul trucking for shorter-length-of-haul and higher-value freight, and, more strategically, against BNSF and (pending its own combination) CSX for scale and network reach.

CLASS I RAILROAD PEER COMPARISON

Railroad	Primary region	FY2024 revenue ^a	Route miles ^a	Ownership	Relationship to UNP
BNSF Railway	Western U.S.	US\$23.4bn	32,500	Berkshire Hathaway (private)	Direct head-to-head competitor across most of UNP's network
Union Pacific	Western U.S.	US\$24.3bn	32,100	NYSE: UNP	Not applicable
Canadian National	Canada / U.S. Midwest & Gulf	US\$17.1bn	20,000	NYSE/TSX: CNI	Partial overlap; interchange partner
CSX	Eastern U.S.	US\$14.5bn	21,000	NASDAQ: CSX	Interchange partner; not a direct route competitor
CPKC	Canada / U.S. / Mexico	US\$14.2bn	20,000	NYSE/TSX: CP	Partial overlap on Mexico gateways; opposes the NS transaction

Railroad	Primary region	FY2024 revenue ^a	Route miles ^a	Ownership	Relationship to UNP
Norfolk Southern	Eastern U.S.	US\$12.1bn	19,400	NYSE: NSC (pending acquisition by UNP)	Principal eastern interchange partner; acquisition target

a. Fiscal year 2024, most recently disclosed comparable full-year figures. Source: Railway Age, "Class I Briefs," compiling company-reported revenue and route-mile disclosures.

BNSF is the closest economic substitute: it operates a nearly identical western U.S. footprint, is broadly comparable in scale (2024 revenue of US\$23.4 billion versus Union Pacific's US\$24.3 billion), and competes for many of the same intermodal, agricultural and industrial shippers, but is wholly owned by Berkshire Hathaway and does not disclose standalone financial targets or trade as a public equity, which removes it as a direct valuation comparable while leaving it as the most relevant operating competitor. Canadian National and CPKC compete more selectively, chiefly on cross-border Mexico and Canada corridors and on some Gulf Coast chemical and grain lanes. CSX and Norfolk Southern operate almost entirely in the eastern United States, where Union Pacific has no track of its own; they are today interchange partners rather than route competitors, which is precisely the structural gap the Norfolk Southern acquisition is designed to close by creating single-line east-west service. Trucking is the most important indirect competitor on shorter hauls and time-sensitive freight, and it sets a de facto price ceiling on intermodal and premium traffic.

A5. Competitive Differences

Advantages. Union Pacific's principal advantage is a structural, not temporary, one: it owns a fixed, irreplaceable western U.S. rail network that cannot be economically duplicated, giving it and BNSF a de facto duopoly across most of the western United States for long-haul bulk and intermodal freight. Scale reinforces this: at 32,100 route miles and roughly US\$24.5 billion of annual revenue, Union Pacific has the density to spread fixed network and overhead costs across a large volume base, evidenced by a five-year average operating margin near 40%, among the highest in U.S. industrials broadly. Switching costs are meaningful for shippers with dedicated unit-train contracts, rail-served plants and long-term take-or-pay agreements (particularly in bulk commodities such as grain and coal), where relocating rail-dependent infrastructure is not a short-term option. Union Pacific also benefits from regulatory scarcity: the Surface Transportation Board's economic-regulation framework and the practical impossibility of new entry mean the competitive set is fixed at the current small number of Class I railroads.

Disadvantages. The business is capital-intensive (2025 capital expenditure of US\$3.8 billion, close to 15% of revenue) and carries meaningful fixed operating leverage, so volume downturns compress margins quickly, as shown by the 2023 dip in operating margin to 37.7% from 42.8% in 2021. Underlying demand growth is structurally slow: coal, historically a significant bulk category, has been in secular decline for a decade as utilities retire coal generation, and Union Pacific's own revenue was essentially flat between 2022 and 2025 (a cumulative +1.5%). Roughly half of Union Pacific's potential transcontinental freight requires handing off to an eastern interchange partner, ceding revenue and service control at the point of interchange: the specific disadvantage the Norfolk Southern acquisition targets. The workforce is unionized and subject to industry-wide, multi-employer bargaining, limiting Union Pacific's unilateral control over its largest cost category. Precision scheduled railroading, the operating model that has driven a decade of margin expansion across the industry, has also drawn recurring criticism from shippers and regulators over service reliability and network resilience, which is a live regulatory consideration in the STB's review of the Norfolk Southern transaction.

Moat assessment (Reasoned): Strong. The combination of an irreplaceable fixed asset base, scale-driven cost advantage, and a two-railroad regional structure justifies a strong-moat classification, short of "very strong" only because the moat is regional rather than continental (Union Pacific alone cannot offer single-line coast-to-coast service) and because regulatory and labor costs are set collectively across the industry rather than controlled unilaterally by Union Pacific.

A6. Industry Trend

Aggregate U.S. rail carload and intermodal volumes have grown at a low-single-digit rate at best over the past decade, with the four U.S. Class I railroads reporting average revenue growth of less than 1% per year over the two years to Q1 2026, and outright revenue declines at the two eastern railroads over that period.⁷ Within that flat aggregate, the mix has shifted: coal, once the largest single commodity category industry-wide, has declined structurally as utilities retire coal-fired generation; domestic intermodal has been a rare bright spot, with Union Pacific reporting a fourth consecutive record quarter for domestic intermodal volume and revenue in the second quarter of 2026; and export grain volume has been volatile but grew at a double-digit rate in the same quarter on strong export demand.⁸

The more significant industry development is structural rather than cyclical: after a long period (from 2001) in which the STB's merger rules were widely understood to make further Class I combinations very difficult, Canadian Pacific was permitted to acquire Kansas City Southern in 2023, and Union Pacific and Norfolk Southern subsequently agreed, in July 2025, to combine in an US\$85 billion transaction that would create the first single-line railroad connecting the U.S. east and west coasts, with the combined entity carrying an enterprise value in excess of US\$250 billion.⁹ If approved, this would leave the U.S. with, in effect, two large transcontinental-scale systems (Union Pacific-Norfolk Southern and BNSF, the latter potentially seeking its own eastern combination over time) alongside Canadian National and CPKC as cross-border players: a meaningfully more concentrated industry structure than existed as recently as 2022.

Reasoned: the industry should be classified as mature and actively consolidating; the consolidation wave itself, rather than underlying freight demand, is the dominant near-term driver of industry structure and of Union Pacific's own equity story. A reversal of the consolidation trend would most plausibly come from an outright STB rejection of the Union Pacific-Norfolk Southern application, which shipper groups, the American Chemistry Council, the National Industrial Transportation League and rival railroads including BNSF and CPKC have all urged the Board to consider.¹⁰

A7. Management

Jim Vena, Chief Executive Officer. Vena has more than 45 years of railroad operating experience, including prior senior operating roles at Union Pacific and at Canadian National, and returned to Union Pacific as CEO in 2023 after the board sought to accelerate the company's operating-ratio and service-reliability turnaround.¹¹ Under Vena, Union Pacific has pursued tighter precision-scheduled-railroading execution, and the company's reported operating ratio improved to 59.8% in 2025 from 60.9% in 2023, alongside the negotiation and announcement of the Norfolk Southern transaction in July 2025, by far the largest capital-allocation decision of his tenure.

Jennifer Hamann, Executive Vice President and Chief Financial Officer. Hamann oversees capital allocation, financing and investor relations, including the financing structure for the pending Norfolk Southern acquisition, and has represented the company at industry investor conferences throughout 2026 alongside Vena.¹²

Other senior leadership named in company disclosures includes Eric Gehringer (operations), Rahul Jalali (Chief Information Officer), Kenyatta "Kenny" Rocker (Executive Vice President, Marketing and Sales), Christina Conlin and Josh Perkes.¹³

Capital allocation record (Reasoned, evaluated against financial evidence). Management has consistently prioritized shareholder distributions over balance-sheet growth: shares outstanding fell from 655.4 million at year-end 2021 to 593.5 million at year-end 2025 (-9.4%), funded by buybacks that totaled roughly US\$18.5 billion across those five years, while the dividend per share has been raised each year, most recently to a quarterly rate of US\$1.42 declared in July 2026 (a 2.9% increase on the prior US\$1.38 rate). Over the same period net debt/EBITDA has been range-bound between roughly 2.3x and 2.8x rather than trending toward investment-grade-minimum leverage, indicating a deliberate choice to run a moderate amount of financial leverage to fund distributions rather than to delever aggressively. Insider transaction data shows routine

equity award vesting and modest open-market activity by named executives, consistent with standard compensation-plan mechanics rather than signaling.¹⁴ The clearest test of management's capital-allocation judgment now underway is the Norfolk Southern acquisition: financing an US\$85 billion, cash-and-stock transaction while integrating two large unionized workforces and networks is a materially larger and more complex undertaking than any capital-allocation decision management has executed to date, and its outcome, not the historical buyback and dividend record, will be the dominant determinant of whether management's capital allocation is judged to have aligned with shareholder interests over the next several years.

1. Association of American Railroads; RailState, "The Ultimate Guide to Railroad Classes." 2. Union Pacific Corporation, Form 10-K FY2025; Alpha Vantage BALANCE_SHEET / CASH_FLOW. 3. Oliver Wyman, "North American Class I Freight Rail Performance," Q1 2026. 4. Union Pacific Corporation, Form 10-K FY2025; up.com corporate overview. 5. Union Pacific Corporation, Form 10-K FY2025, commodity-group revenue disclosure. 6. Union Pacific Corporation, Second Quarter 2026 earnings release, 23 July 2026. 7. Oliver Wyman, "North American Class I Freight Rail Performance," Q1 2026. 8. Union Pacific Corporation, Second Quarter 2026 earnings release and earnings call, 23 July 2026. 9. Union Pacific Corporation and Norfolk Southern Corporation, joint press release, 29 July 2025; Form S-4 registration statement. 10. Surface Transportation Board, press releases PR-26-13 and PR-26-18; Law360 and Logistics Management reporting on shipper and rival opposition, April-August 2026. 11. Union Pacific Corporation, "Leadership" (up.com); company investor-conference press releases, 2026. 12. Union Pacific Corporation investor-relations press releases, 2026 conference appearances. 13. Union Pacific Corporation, "Leadership" (up.com). 14. Alpha Vantage INSIDER_TRANSACTIONS and INSTITUTIONAL_HOLDINGS, data through August 2026; calculated share-count and buyback figures from Alpha Vantage BALANCE_SHEET / CASH_FLOW.

B. Evaluation

B1. Financial and Operating Metrics

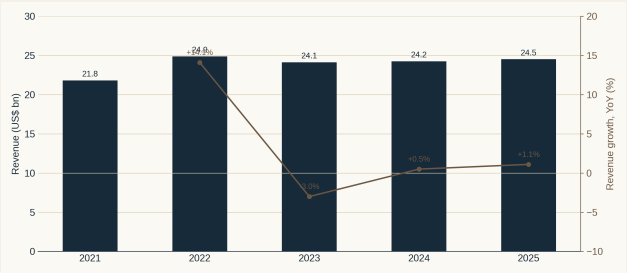
The metrics below are the ones most economically relevant to a fixed-network, capital-intensive railroad: margin and operating-ratio trends (which capture PSR execution), cash conversion (which captures earnings quality), leverage (which captures capacity to fund both the ordinary dividend/buyback programme and the pending Norfolk Southern transaction), and returns on capital (which capture whether growth and reinvestment are value-accretive). Metrics such as inventory turnover are not meaningful for a service business with minimal inventory and are omitted.

FIVE-YEAR FINANCIAL AND OPERATING METRICS: CALCULATED FROM REPORTED FIGURES

Metric	2021	2022	2023	2024	2025
Revenue (US\$bn)	21.80	24.88	24.12	24.25	24.51
Revenue growth YoY	n/a	14.1%	-3.0%	0.5%	1.1%
Operating margin	42.8%	39.9%	37.7%	40.1%	40.1%
Reported operating ratio ^a	n/a	n/a	60.9%	59.9%	59.8%
EBITDA margin	54.3%	50.8%	49.5%	51.5%	52.8%
Net margin	29.9%	28.1%	26.5%	27.8%	29.1%
Return on equity (ROE)	46.1%	57.5%	43.1%	39.9%	38.7%
Return on invested capital (ROIC)	16.6%	17.3%	15.5%	16.0%	16.7%
Return on assets (ROA)	10.3%	10.7%	9.5%	10.0%	10.2%
Asset turnover (Revenue/Assets)	0.34x	0.38x	0.36x	0.36x	0.35x
Net debt / EBITDA	2.57x	2.69x	2.78x	2.51x	2.34x
Total debt / Equity	2.22x	2.87x	2.31x	1.92x	1.72x
EBIT / interest expense	8.3x	8.1x	7.1x	7.9x	8.0x
Operating cash flow (US\$bn)	9.03	9.36	8.38	9.35	9.29
Capital expenditure (US\$bn)	2.94	3.62	3.61	3.45	3.79
Free cash flow (US\$bn)	6.10	5.74	4.77	5.89	5.50
FCF margin	28.0%	23.1%	19.8%	24.3%	22.4%
OCF / Net income (cash conversion)	138%	134%	131%	139%	130%

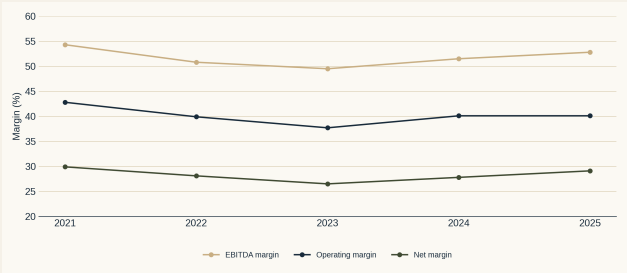
a. Union Pacific's own reported operating ratio (operating expenses / revenue, company definition); differs marginally from the calculated operating margin above because of minor classification differences between company and normalized-statement presentation. Not disclosed on a comparable basis by the data provider for 2021-2022. Sources: Alpha Vantage INCOME_STATEMENT, BALANCE_SHEET, CASH_FLOW (annual reports, fiscal years 2021-2025); Union Pacific Corporation Form 10-K FY2025 (reported operating ratio). ROIC calculated as NOPAT (EBIT x (1 - effective tax rate)) divided by invested capital (total debt plus equity less cash and short-term investments), both period-end.

Revenue and revenue growth, FY2021-FY2025



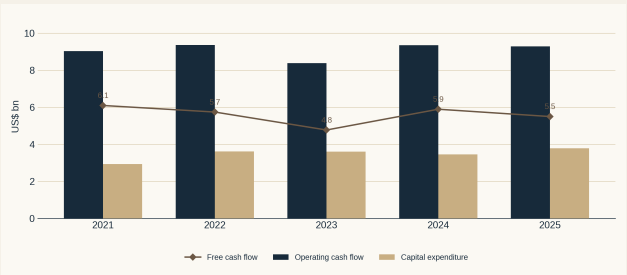
Source: Alpha Vantage INCOME_STATEMENT (annual reports). Reported figures; growth calculated.

Margin structure, FY2021-FY2025



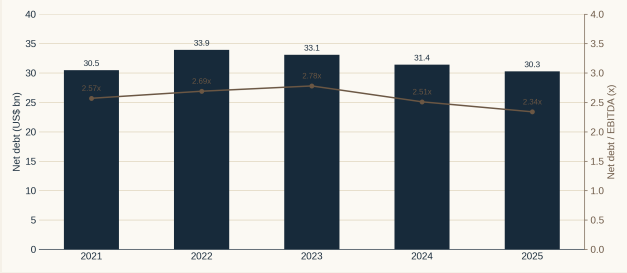
Source: Alpha Vantage INCOME_STATEMENT. Calculated from reported revenue, operating income, EBITDA and net income.

Operating cash flow, capital expenditure and free cash flow, FY2021-FY2025



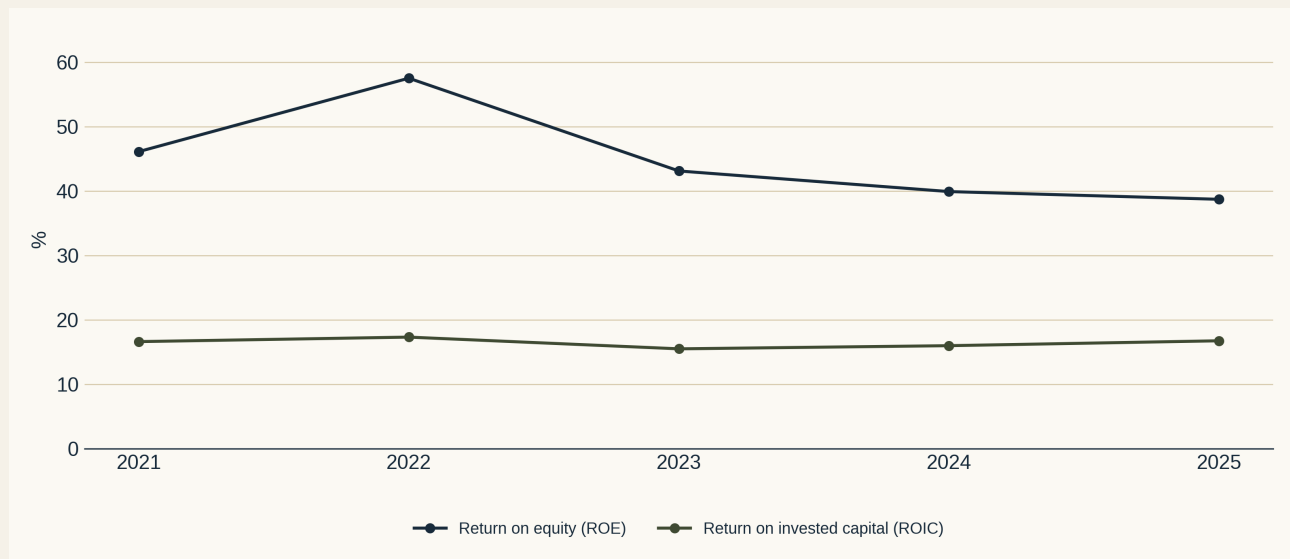
Source: Alpha Vantage CASH_FLOW. FCF calculated as operating cash flow less capital expenditure.

Net debt and leverage, FY2021-FY2025



Source: Alpha Vantage BALANCE_SHEET. Net debt calculated as total debt less cash and short-term investments.

Return on equity versus return on invested capital, FY2021-FY2025



Source: Alpha Vantage BALANCE_SHEET, INCOME_STATEMENT. ROE and ROIC calculated as described in the table footnote above; note that ROE ≠ ROIC: the wide and widening gap between the two lines from 2022 reflects the effect of financial leverage and the shrinking equity base from buybacks, not an improvement in the underlying return on the operating asset base, which has been comparatively stable around 15.5%-17.3%.

The five-year record shows a business whose underlying operating economics (ROIC, EBIT/interest coverage) have been remarkably stable while reported net margin and ROE have been more volatile, driven by fuel-surcharge pass-through effects on the margin denominator, and by the mechanical effect of a shrinking equity base on ROE. Revenue growth has been the weak link: outside the fuel-surcharge-driven jump in 2022, revenue was essentially flat from 2021 to 2025, a three-year (2022-2025) CAGR of roughly 0.6%, versus a diluted EPS CAGR over the same period of approximately 3.2%, confirming that per-share earnings growth has come disproportionately from margin discipline and the buyback programme rather than from top-line expansion.

B2. Risks

Business risk

Freight volume is concentrated in a relatively small number of large industrial, agricultural and energy shippers and in a limited number of commodity categories (agricultural products, energy, chemicals, intermodal); a demand shock in any one category, for example a sharp drop in export grain volumes or continued coal-fired generation retirements, has an outsized effect given the fixed-cost structure of the network. Geographic concentration in the western and central United States means the company is directly exposed to regional agricultural, energy and industrial-production cycles.

Financial risk

Net debt/EBITDA of roughly 2.3x (TTM) is manageable on a standalone basis, but the Norfolk Southern transaction's cash consideration (US\$88.82 per Norfolk Southern share, alongside stock) will require substantial incremental financing, and the combined entity's leverage profile immediately after closing is not yet fully disclosed; refinancing and interest-rate risk on that incremental debt is a live consideration heading into a transaction expected to close around mid-2027.

Competitive risk

BNSF, operating a nearly identical western franchise at comparable scale, is the primary competitive constraint on pricing and service; a Union Pacific-Norfolk Southern combination could also catalyze a competing BNSF-eastern-railroad tie-up or

accelerate CSX-Norfolk Southern-style eastern consolidation, changing the competitive landscape Union Pacific has priced into its long-term strategy.

Technological risk

Automation (including any future move toward reduced train-crew sizes) and cybersecurity exposure across an increasingly digitized dispatch and scheduling network are industry-wide considerations; there is no evidence of near-term technological disruption to the core rail-transportation function itself, given the absence of a viable substitute mode for the bulk, heavy-haul freight that dominates Union Pacific's volume.

Regulatory risk

This is, at present, the single most significant identifiable risk to the investment case. The Surface Transportation Board initially found the Union Pacific-Norfolk Southern joint application incomplete in January 2026, required a revised application (accepted as complete effective 28 May 2026) and has since required supplemental information, which the companies delivered by the 27 July 2026 deadline; BNSF, CPKC and a coalition of shipper groups including the National Industrial Transportation League and the American Chemistry Council have formally urged the Board to reject or heavily condition the merger, and former antitrust officials have publicly urged close scrutiny.¹ The STB decision is not expected before 2027.

Macro risk

Freight volumes correlate with industrial production, agricultural export demand and consumer goods imports; diesel fuel price volatility (a 63% year-over-year increase in fuel expense was cited as a 120-basis-point drag on the operating ratio in the second quarter of 2026) and interest-rate levels (relevant both to the ordinary cost of debt and to Norfolk Southern deal financing) are the most direct macro transmission channels.²

Valuation risk

At 16.2x EV/EBITDA (TTM), the shares are not priced for a scenario in which the Norfolk Southern transaction is rejected or heavily conditioned and the standalone growth outlook reverts to the low-single-digit trend of 2022-2025; a disappointment on deal terms, synergy realization, or a cyclical volume downturn could each independently compress the multiple.

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE (RANKED BY PROBABILITY × IMPACT)

1. An outright Surface Transportation Board rejection, or approval conditioned on material trackage-rights or divestiture concessions, of the Union Pacific-Norfolk Southern transaction, given active, organized opposition from BNSF, CPKC and major shipper associations.
2. Overleveraging the combined balance sheet to fund the US\$85 billion transaction in a rising-rate environment, impairing the dividend and buyback capacity that has driven the bulk of recent per-share value creation.
3. A structural, multi-year freight-volume downturn (industrial recession, accelerated coal retirement without offsetting intermodal/grain growth) that exposes the network's high operating leverage at the same time the company is carrying elevated merger-related leverage.

B3. Valuation

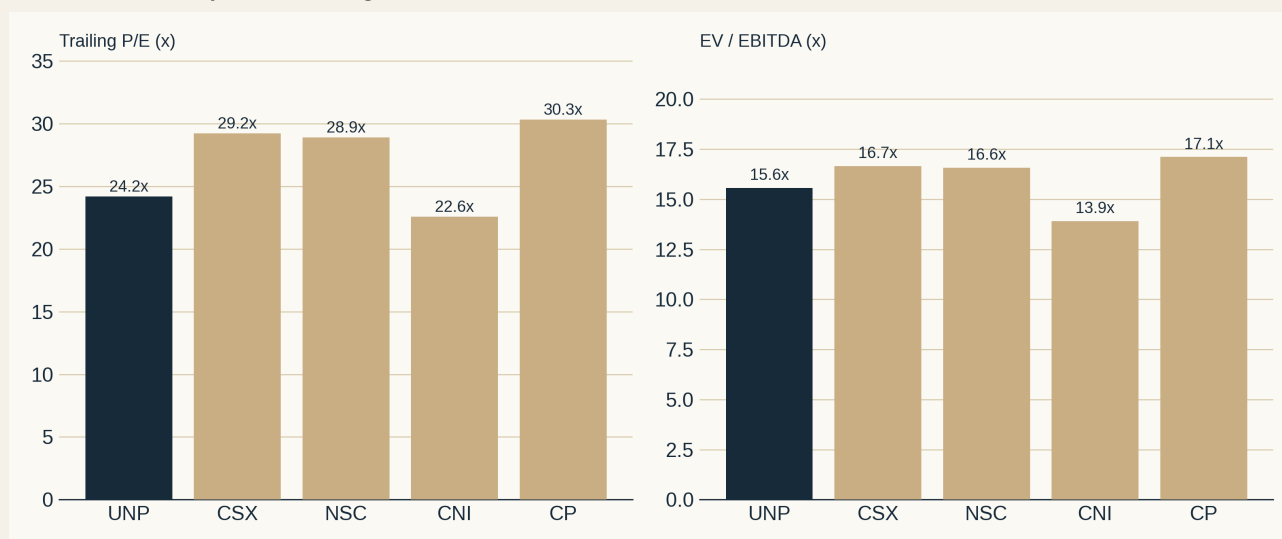
Multiples: current and peer

VALUATION MULTIPLES, 19 AUGUST 2026 CLOSE (UNP) AND MOST RECENT AVAILABLE DATA (PEERS)

Company	Trailing P/E	Forward P/E	EV/EBITDA (TTM)	EV/Revenue (TTM)	P/S (TTM)	Dividend yield
Union Pacific (UNP)	24.4x	23.6x	16.2x	8.2x	7.1x	1.84%
CSX	29.2x	25.3x	16.7x	7.7x	6.4x	1.07%
Norfolk Southern	28.9x	27.1x	16.6x	7.4x	6.1x	1.58%
Canadian National	22.6x	21.6x	13.9x	7.2x	4.3x	2.85%
CPKC	30.3x	25.2x	17.1x	9.0x	5.3x	1.01%

Union Pacific multiples calculated using the 19 August 2026 close and balance-sheet data for the quarter ended 30 June 2026; peer multiples sourced from Alpha Vantage COMPANY_OVERVIEW, most recent available quarter for each issuer (all quarters ended 30 June 2026). P/E and EV/EBITDA are trailing twelve months unless marked forward. Union Pacific separately reports a non-GAAP adjusted diluted EPS that has differed modestly from GAAP diluted EPS in recent quarters (for example, US\$3.41 adjusted versus US\$3.36 GAAP diluted EPS for the second quarter of 2026, the difference consisting mainly of costs associated with the pending Norfolk Southern transaction); the trailing-twelve-month EPS and P/E figures used in this report are based on GAAP-consistent aggregated data and are not the adjusted, non-GAAP figure.

Peer valuation comparison: trailing P/E and EV/EBITDA



Source: Alpha Vantage COMPANY_OVERVIEW for UNP, CSX, NSC, CNI, CP, most recent available data as of 19 August 2026.

Union Pacific trades at the low end of the Class I peer set on EV/EBITDA (16.2x, versus 13.9x-17.1x across the group) and at a discount on trailing P/E to CSX, Norfolk Southern and CPKC, while commanding a premium P/E to Canadian National. Relative to its own five-year history, the current EV/EBITDA multiple sits above the mid-cycle levels implied by the 2023 trough in operating margin, consistent with the market crediting the operating-ratio recovery achieved since 2023 and, to some degree, optionality on the Norfolk Southern transaction. A precise multi-year historical multiple series was not available from the sources used for this report and is not presented in place of an estimate.

Discounted cash flow: standalone, illustrative range

The discounted cash flow model below is standalone (it excludes any effect of the pending Norfolk Southern acquisition, which has not closed and whose final financing structure is not yet fixed) and is intended to establish a valuation range under conservative-to-moderate assumptions, not a precise intrinsic value.

DCF ASSUMPTIONS (ESTIMATED / REASONED)

Base revenue (FY2025 actual)	US\$24,510m
Explicit-period revenue growth	3.0% (2026) declining to 2.0% (2030)
Operating margin	40.2% (2026) rising to 41.0% (2030)
Effective tax rate	22.5%
Depreciation and amortization	10.0% of revenue
Capital expenditure	15.0% of revenue
Change in net working capital	Approximately nil (low working-capital business)
Cost of equity (CAPM)	4.3% risk-free + 0.965 beta x 5.0% equity risk premium = 9.1%
After-tax cost of debt	4.1% pre-tax x (1 - 22.5%) = 3.2%
Capital weights (market value)	85% equity / 15% debt
WACC (calculated)	approximately 8.2%
Terminal growth rate	2.0% central case
Net debt used (30 June 2026)	US\$29,055m
Diluted shares outstanding	594.1m

IMPLIED EQUITY VALUE PER SHARE: SENSITIVITY TO WACC AND TERMINAL GROWTH

WACC	Terminal growth 1.5%	Terminal growth 2.0%	Terminal growth 2.5%
7.5%	US\$145	US\$159	US\$176
8.0%	US\$130	US\$142	US\$156
8.2% (base case)	n/a	US\$136	n/a
8.5%	US\$117	US\$127	US\$139
9.0%	US\$106	US\$115	US\$124

Calculated by the analyst using the assumptions above; five-year explicit free cash flow projection discounted alongside a Gordon-growth terminal value. This is a standalone illustrative range, not a price target.

What the current price appears to require (Reasoned). The base-case DCF range of roughly US\$106-US\$176 per share sits well below the 19 August 2026 closing price of US\$301.80. Holding the 8.2% WACC constant, matching the current price within this model's structure requires a terminal growth rate of approximately 5.3%, above long-run nominal GDP growth and well outside the 1.5%-2.5% range conventionally used for a mature, regulated infrastructure asset. Equivalently, holding terminal growth at 2.0%, matching the current price requires a WACC of approximately 5.2%, roughly 300 basis points below the CAPM-derived estimate used here. Because Union Pacific's EV/EBITDA multiple is not an outlier within

its own Class I peer group (16.2x against a peer range of 13.9x-17.1x), this gap is better read as a statement about how the market discounts the whole peer group's long-duration, wide-moat rail cash flows, assigning them a lower effective discount rate and/or higher sustained growth than a conventional standalone DCF supports, rather than as evidence that Union Pacific specifically is mispriced relative to comparable businesses. The pending Norfolk Southern transaction's guided US\$2.75 billion of annualized run-rate synergies, capitalized in perpetuity at the 8.2% WACC used here, would add on the order of US\$33 billion of enterprise value (approximately US\$56 per share pre-tax) if fully realized, a meaningful contribution but insufficient on its own to close the full gap between the standalone DCF and the market price. On balance, the expectations embedded in the current price are best classified as **Optimistic** relative to a conservative standalone DCF, though broadly in line with how the market prices the Class I rail peer group as a whole.

B4. Capital Market and Stock Analysis

PRICE RETURNS AS OF 19 AUGUST 2026 CLOSE (CALCULATED FROM ALPHA VANTAGE DAILY TIME SERIES)

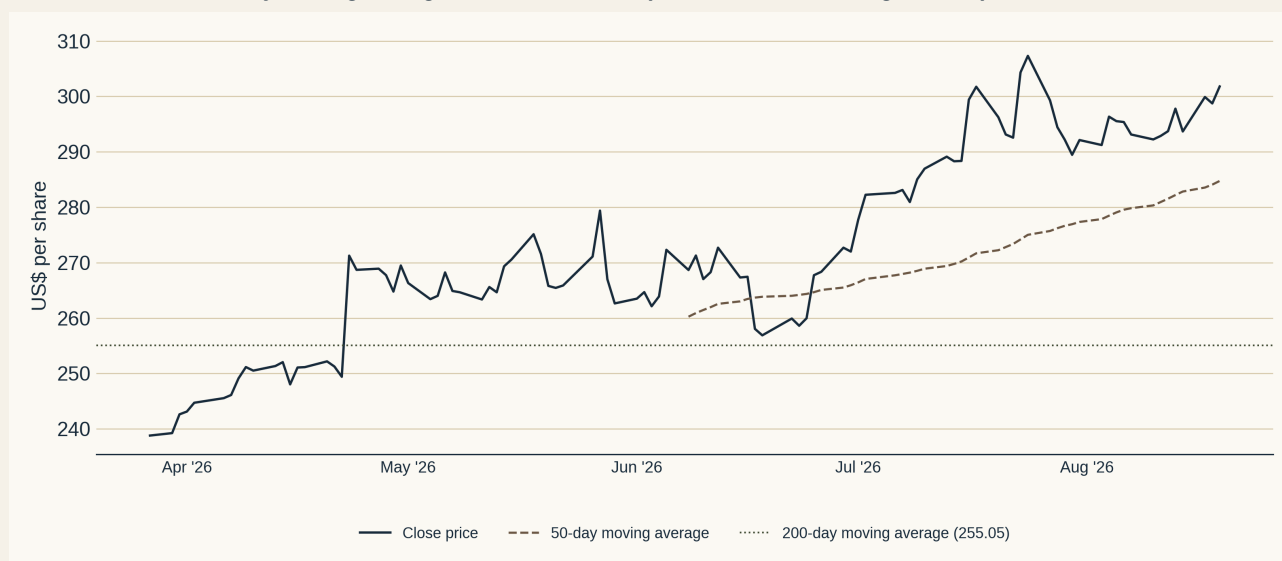
1 day	+1.02%
1 week	+2.75%
1 month	+2.96%
3 months	+11.14%
Trailing ~5 months (available window, since 27 March 2026)	+26.39%
6 months / YTD / 1 year / 3 year / 5 year	Not retrieved ^a

a. Longer-horizon daily price history required a premium data entitlement not accessible for this report; these periods are stated as not retrieved rather than estimated, consistent with this report's data-quality standard. The 52-week high/low, beta and moving averages below are sourced independently and cover the full trailing year.

MARKET AND TECHNICAL PROFILE, 19 AUGUST 2026

Close	US\$301.80
52-week high / low	US\$315.99 / US\$207.45
Position within 52-week range	86.9% (calculated)
50-day moving average	US\$284.08 (price +6.2% above)
200-day moving average	US\$255.05 (price +18.3% above)
Beta (5-year, monthly, as reported)	0.965
Annualized volatility (trailing ~100 trading days, calculated)	26.0%
Maximum drawdown (trailing ~5-month window, calculated)	-8.1% (27 May 2026 peak to 18 June 2026 trough)
RSI (14-day, calculated)	68.8
MACD (12,26,9, calculated)	3.31, signal 3.39 (histogram -0.09)

Sources: Alpha Vantage COMPANY_OVERVIEW (52-week range, moving averages, beta, dividend data) and Alpha Vantage TIME_SERIES_DAILY (daily closes, 27 March 2026 - 19 August 2026), both as of 19 August 2026. RSI, MACD, annualized volatility and maximum drawdown calculated by the analyst from the daily close series described; volatility and drawdown are therefore representative of the available ~5-month window only, not a full-year or multi-year statistic.

Price trend versus 50-day moving average, available window (27 March 2026 - 19 August 2026)

Source: Alpha Vantage TIME_SERIES_DAILY. 50-day moving average calculated from the same series; 200-day moving average line plotted at the sourced Alpha Vantage COMPANY_OVERVIEW value (255.05) as a reference, since the full 200-day price history was not independently retrievable.

The shares are in a clear uptrend on every measure available: the close sits above both the 50-day and 200-day moving averages, near the top of the 52-week range, and has advanced 26.4% over the available trading window, including an 8.1% peak-to-trough drawdown in June 2026 that was fully recovered within about five weeks. A 14-day RSI of 68.8 is approaching, but has not yet crossed, the conventional overbought threshold of 70, and the small negative MACD histogram reading suggests upward momentum has moderated slightly from its recent peak without yet signaling a trend reversal. A beta of 0.965 indicates the shares have historically moved roughly in line with the broader market rather than exhibiting the higher volatility sometimes associated with cyclical industrials, consistent with the relatively defensive, contracted and infrastructure-like nature of the underlying freight business. None of this technical picture should be read as independent of the fundamental and regulatory setup described elsewhere in this report: the rally over the trailing five months coincides with the period in which the Surface Transportation Board accepted the revised Union Pacific-Norfolk Southern application as complete (28 May 2026) and the companies met the Board's supplemental-information deadline (27 July 2026), suggesting the market has been incrementally pricing in a higher probability of deal completion alongside the underlying operating recovery.

C. Financial Statements

All figures in this section are reported under U.S. GAAP as filed by Union Pacific Corporation, unless marked as calculated or estimated. The analysis covers fiscal years 2021-2025, the most recent five audited annual periods available, supplemented by trailing-twelve-month data through the second quarter of 2026 where relevant.

C1. Income Statement

INCOME STATEMENT SUMMARY, FY2021-FY2025 (US\$M, REPORTED)

Line item	2021	2022	2023	2024	2025
Total revenue	21,804	24,875	24,119	24,250	24,510
Operating income	9,338	9,917	9,082	9,713	9,839
EBIT (calculated)	9,635	10,343	9,573	10,063	10,475
EBITDA (calculated)	11,843	12,636	11,928	12,498	12,947
Interest expense	1,157	1,271	1,340	1,269	1,309
Income before tax	8,478	9,072	8,233	8,794	9,166
Income tax expense	1,955	2,074	1,854	2,047	2,028
Effective tax rate (calculated)	23.1%	22.9%	22.5%	23.3%	22.1%
Net income	6,523	6,998	6,379	6,747	7,138
Diluted EPS (reported)	US\$9.96	US\$11.22	US\$10.32	US\$11.16	US\$11.67
Diluted weighted-average shares (calculated, m)	655.0	623.6	618.1	604.6	611.7

Source: Alpha Vantage INCOME_STATEMENT, annual reports FY2021-FY2025, as reported by Union Pacific Corporation under U.S. GAAP. EBIT, EBITDA, effective tax rate and diluted share count are calculated by the analyst from reported line items. R&D expense is not a meaningful or disclosed line item for a railroad and is omitted.

Revenue growth has been driven predominantly by pricing and fuel-surcharge pass-through rather than volume: reported revenue rose 14.1% in 2022 (a period of high fuel prices and strong pricing), fell 3.0% in 2023 as fuel surcharges normalized and volumes softened, and has grown only marginally since (+0.5% in 2024, +1.1% in 2025). Operating margin followed an inverse pattern, troughing at 37.7% in 2023 as the company absorbed cost inflation and volume softness, before recovering to 40.1% in both 2024 and 2025 as PSR execution and pricing discipline offset a still-tepid volume backdrop. The effective tax rate has been stable in a narrow 22.1%-23.3% band, indicating that net-margin variation over the period has been driven by operating performance rather than tax items. Diluted EPS grew from US\$9.96 (2021) to US\$11.67 (2025), a 17.2% cumulative increase over a period in which net income grew only 9.4%, with the gap accounted for by the 6.6% reduction in diluted share count over the same period, underscoring the earlier finding that buybacks, not operating growth, have been the larger driver of per-share earnings growth.

Operating leverage is visible directly in the 2022-2023 period: a 3.0% revenue decline in 2023 produced a 8.4% decline in operating income and a 5.6% decline in EBITDA, roughly 2-3x the revenue decline, consistent with a cost base that is substantially fixed in the short run. The subsequent recovery (2024-2025) shows the same leverage working in the company's favor at flat-to-low-single-digit revenue growth.

C2. Balance Sheet

BALANCE SHEET SUMMARY, FY2021-FY2025 (US\$M, REPORTED AT FISCAL YEAR-END)

Line item	2021	2022	2023	2024	2025
Cash and short-term investments	1,006	1,019	1,071	1,036	1,525
Total current assets	3,551	3,952	4,148	4,021	4,555
Net property, plant and equipment	56,658	57,710	59,041	59,640	60,681
Total assets	63,525	65,449	67,132	67,715	69,698
Total current liabilities	5,744	5,520	5,106	5,254	5,014
Total debt (calculated, ST+LT)	31,488	34,957	34,179	32,463	31,814
Total liabilities	49,364	53,286	52,344	50,825	51,231
Total shareholders' equity	14,161	12,163	14,788	16,890	18,467
Net debt (calculated)	30,482	33,938	33,108	31,427	30,289
Working capital (calculated)	-2,193	-1,568	-958	-1,233	-459
Common shares outstanding (m)	655.4	624.0	610.2	608.6	593.5

Source: Alpha Vantage BALANCE_SHEET, annual reports FY2021-FY2025. Net debt, working capital and total debt are calculated by the analyst. Goodwill is not disclosed as a distinct balance-sheet line item for Union Pacific.

The balance sheet is dominated by property, plant and equipment (87% of total assets at year-end 2025), consistent with a fixed-network infrastructure business, and carries persistently negative working capital (current liabilities exceeding current assets in every year shown), a normal and not concerning feature of a business with minimal inventory and rapid customer collections relative to its payables and accrued liabilities. Total debt has been essentially flat to modestly declining since peaking at US\$34.96 billion in 2022, while EBITDA has grown, producing the leverage improvement documented in Section B1 (net debt/EBITDA of 2.34x at year-end 2025, down from 2.78x at year-end 2023). Shareholders' equity fell from 2021 to 2022 (as buybacks and dividends exceeded net income plus other comprehensive items) before recovering each year since as retained-earnings growth outpaced the now-smaller buyback drag on equity.

Red flags assessed and not found material: there is no goodwill concentration (none disclosed), no evidence of deteriorating working capital (working capital has improved, i.e., become less negative, every year since 2021), and no near-term refinancing cliff apparent in the aggregate debt data reviewed; a full debt-maturity ladder was not independently retrieved for this report and would be required to confirm the absence of near-term refinancing concentration with certainty. Total debt did rise from 2021 to 2022 (+11.0%) at the same time buybacks were unusually large (US\$7.29 billion in 2021 alone), which is worth monitoring as a precedent for how debt-funded the Norfolk Southern transaction financing could be.

C3. Cash Flow Statement

CASH FLOW SUMMARY, FY2021-FY2025 (US\$M, REPORTED)

Line item	2021	2022	2023	2024	2025
Operating cash flow	9,032	9,362	8,379	9,346	9,290
Capital expenditure	2,936	3,620	3,606	3,452	3,791

Line item	2021	2022	2023	2024	2025
Free cash flow (calculated)	6,096	5,742	4,773	5,894	5,499
Dividends paid	2,800	3,159	3,173	3,213	3,236
Net share repurchases	7,291	6,282	705	1,505	2,679
Cash flow from investing activities	-2,709	-3,471	-3,667	-3,325	-3,762
Cash flow from financing activities	-7,158	-5,887	-4,625	-6,067	-5,276

Source: Alpha Vantage CASH_FLOW, annual reports FY2021-FY2025. Free cash flow calculated as operating cash flow less capital expenditure.

Operating cash flow has exceeded net income in every year of the five-year window (average conversion of 134%), driven mainly by the large non-cash depreciation charge on the fixed-asset base, indicating that reported accounting earnings are well supported by, and understate, cash generation, the opposite of a common earnings-quality warning sign. Free cash flow has been more volatile than operating cash flow because capital expenditure has itself varied (from US\$2.94 billion in 2021, an unusually low year, to US\$3.79 billion in 2025), and dividends plus buybacks have exceeded free cash flow in three of the five years shown (2021, 2022 and, marginally, 2025), funded by the balance sheet rather than by that year's cash generation alone. This is a standard, sustainable pattern for an investment-grade issuer with access to capital markets, but it does mean that free cash flow alone has not fully funded the shareholder-distribution programme in most recent years, a dynamic worth watching once Norfolk Southern-related financing needs are layered on top.

C4. Forecasting and Projections

The scenarios below are standalone (excluding the Norfolk Southern transaction, which is treated separately given its binary regulatory dependency) and are presented as a range of reasoned outcomes rather than a single forecast.

SCENARIO ASSUMPTIONS AND INDICATIVE OUTCOMES (ESTIMATED / REASONED)

Driver	Bear case	Base case	Bull case
Revenue growth (5-yr average)	-1% to 0% (industrial recession, continued coal decline, no intermodal offset)	2%-3% (current trend: modest pricing gains, flattish volume, intermodal/grain strength)	4%-5% (sustained intermodal share gains, robust export grain, pricing well above rail-cost inflation)
Operating margin trajectory	Compresses toward 36%-37% (2023-style volume deleverage)	Holds/improves modestly to 40%-41%	Improves to 42%-43% (renewed PSR gains, positive operating leverage)
Capital intensity (capex/revenue)	Rises toward 16%-17% (deferred-maintenance catch-up)	Stable near 15%	Declines toward 13%-14% (PSR-driven asset efficiency)
Approximate FCF margin outcome	15%-18%	22%-25%	27%-30%

Working-capital requirements are structurally low and are not a meaningful swing factor across scenarios; maintenance capital expenditure is the key sensitivity, since it is both large (roughly 15% of revenue) and only partially discretionary: deferring it in a downturn (bear case) creates a longer-term service-quality and re-investment liability rather than a genuine structural cost saving.

C5. Discounted Cash Flow (DCF) Model

The full DCF model, assumptions and WACC derivation are presented in Section B3 to keep the valuation discussion in one place; the base-case standalone range is approximately US\$106-US\$176 per share across the WACC (7.5%-9.0%) and terminal-growth (1.5%-2.5%) grid shown there, versus a 19 August 2026 closing price of US\$301.80. As discussed in Section B3, the gap is best interpreted as the market applying a materially lower effective discount rate and/or higher sustained growth expectations to this asset class than a conventional standalone DCF supports, rather than as a definitive statement that the shares are mispriced.

C6. Leveraged Buyout (LBO) Model

Not applicable. Union Pacific is a US\$179 billion market-capitalization, investment-grade-rated regulated infrastructure business that is itself the acquirer, not a plausible LBO target: its size relative to available leveraged-finance capacity, its status as critical national freight infrastructure subject to Surface Transportation Board oversight, and its already-utilized balance sheet (2.3x net debt/EBITDA before any Norfolk Southern-related financing) make a leveraged buyout structurally implausible. An LBO analysis is therefore omitted rather than constructed on an unrealistic premise.

D. Investment Thesis

Bull Case

The Surface Transportation Board approves the Norfolk Southern acquisition with limited conditions, allowing Union Pacific to realize the guided US\$2.75 billion of annualized run-rate synergies and to offer single-line transcontinental service that captures share from truck and from the interchange-based routings the combined network replaces. Standalone, domestic intermodal and export-grain momentum evident in the second quarter of 2026 continues, lifting volume growth back toward 3%-5% rather than the roughly flat trend of 2022-2025. PSR execution drives operating margin toward 42%-43% and capital intensity gradually declines as the asset base matures, expanding free cash flow margin toward 27%-30%. Continued share repurchases at a disciplined pace, funded by this expanded free cash flow rather than incremental leverage, compound per-share value at a rate faster than revenue growth alone would suggest, and the market re-rates the combined entity as a scarce, larger-scale, single-line transcontinental franchise.

Bear Case

The Surface Transportation Board rejects the Norfolk Southern transaction outright, or approves it only with material conditions (forced trackage-rights grants to BNSF or CSX, divestitures, or price-cap undertakings) that eliminate most of the projected synergies while leaving Union Pacific to absorb the deal costs and management distraction already incurred. Simultaneously, a broader industrial or agricultural-export downturn reduces volumes, and the network's operating leverage compresses margin back toward the 2023 trough (37.7%) or below. Elevated leverage, whether from a stranded, unsynergized Norfolk Southern stake or simply from a weaker EBITDA base, forces a slower buyback pace or a dividend-growth pause, removing the primary lever that has driven per-share earnings growth since 2021. The valuation, which this report's standalone DCF suggests already embeds optimistic terminal-growth or discount-rate assumptions, compresses toward levels more consistent with the conservative end of the sensitivity range in Section B3.

Base Case

The most reasonable near-term scenario, based on the information available as of this report's date, is a Surface Transportation Board decision on the Norfolk Southern transaction sometime in 2027 (management's own guidance points to a mid-2027 close), with meaningful but not certain probability of approval given the scale of organized opposition documented in Section B2. Standalone, Union Pacific continues to run an operating ratio in the 58%-60% range, revenue grows in the low-single-digit percentage range with intermodal and grain as the more resilient categories and coal as a continuing drag, and management continues returning the substantial majority of free cash flow to shareholders through a combination of dividend growth and opportunistic buybacks, moderated somewhat while deal-related capital needs are clarified.

Catalysts

- Surface Transportation Board procedural rulings and, ultimately, its final decision on the Norfolk Southern application (not expected before 2027).
- Quarterly earnings releases, particularly operating-ratio trends and volume commentary by commodity group (next scheduled release: third-quarter 2026 results, typically reported in October).
- Further detail on Norfolk Southern transaction financing (debt versus equity mix), which will directly affect pro forma leverage.

- Federal Reserve interest-rate decisions, given their effect on both financing costs for the pending transaction and the broader industrial-freight demand backdrop.
- Diesel fuel price trends, given the direct operating-ratio sensitivity demonstrated in the second quarter of 2026.
- Additional share-repurchase authorizations or dividend increases, as historically the primary per-share value-creation lever.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
STB procedural timeline and public comment	Binary determinant of the largest capital-allocation decision in the company's history	Timely, unconditional or lightly conditioned approval progress	Extended delay, harsh conditions, or signs the Board is inclined to reject
Reported operating ratio, quarterly	Primary read on PSR execution and cost discipline	Sequential and year-over-year improvement excluding fuel effects	Deterioration not explained by fuel or one-off items
Volume by commodity group (bulk / industrial / premium)	Distinguishes cyclical softness from structural share loss	Continued intermodal and grain strength; coal decline offset elsewhere	Broad-based volume weakness across all three groups
Net debt / EBITDA and any new debt issuance tied to the NS transaction	Determines whether the buyback/dividend programme can continue at its historical pace	Leverage held near or below the current 2.3x TTM level	Sharp increase without a clear, funded deleveraging path
Share repurchase pace	Historically the dominant driver of per-share earnings growth	Repurchases resumed or maintained at a disciplined pace	Repurchases paused or sharply reduced to conserve cash for the transaction

E. Final Investment Framework

BUSINESS QUALITY	High. A fixed, irreplaceable western U.S. rail network with a five-year average operating margin near 40% and no realistic new-entrant threat.
FINANCIAL QUALITY	High. Operating cash flow has exceeded net income in every year 2021-2025 (average 134% conversion); leverage has declined from 2.78x to 2.34x net debt/EBITDA since 2023.
COMPETITIVE POSITION	Strong regionally within a western two-railroad structure (Union Pacific and BNSF); structurally dependent on eastern interchange partners for transcontinental reach, the gap the Norfolk Southern acquisition targets.
MANAGEMENT	Operationally focused (CEO Jim Vena, 45-plus years of rail experience) with a consistent five-year record of returning the large majority of free cash flow to shareholders; now executing the largest and most complex capital-allocation decision in the company's history.
INDUSTRY	Mature and actively consolidating; the Union Pacific-Norfolk Southern and 2023 Canadian Pacific-Kansas City Southern combinations are reshaping industry structure faster than underlying freight demand is growing.
VALUATION	In line with Class I peers on EV/EBITDA (16.2x versus a 13.9x-17.1x peer range); above a conservative standalone DCF range of roughly US\$106-US\$176 per share, implying the market prices in above-conservative growth and/or discount-rate assumptions common to the peer group as a whole.
TECHNICAL AND MARKET STRUCTURE	Established uptrend; price above both the 50-day and 200-day moving averages and near 52-week highs, with a 14-day RSI of 68.8 approaching, but not yet at, conventional overbought levels.
PRINCIPAL RISK	Surface Transportation Board rejection or heavy conditioning of the Norfolk Southern acquisition, given organized opposition from BNSF, CPKC and major shipper associations.
PRINCIPAL CATALYST	Surface Transportation Board approval of the Norfolk Southern transaction, unlocking the guided US\$2.75 billion of annualized synergies and single-line transcontinental service.
KEY VARIABLE	The outcome and terms of the Surface Transportation Board's review of the Norfolk Southern acquisition: the single decision most likely to determine whether the current valuation is validated or challenged over the next two to three years.
THESIS INVALIDATION	The investment thesis would become materially weaker if the Surface Transportation Board rejects the Norfolk Southern application or conditions it in a way that eliminates the majority of the projected US\$2.75 billion synergy run-rate; if standalone net debt/EBITDA rises and is sustained above approximately 3.0x without a clear deleveraging path; or if reported operating margin falls back toward or below the 37.7% trough recorded in 2023 for more than two consecutive quarters outside of a fuel-price-driven distortion.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current ^a	FY2024	5-year trend (FY2021-FY2025)
Market	Market capitalization	US\$179.3bn	Not retrieved	n/a (point-in-time market data)
Market	Enterprise value	US\$208.4bn	Not retrieved	n/a (point-in-time market data)
Market	Share price	US\$301.80	Not retrieved	n/a (point-in-time market data)
Growth	Revenue growth (YoY)	+3.7% (TTM)	+0.5%	Decelerating since 2022; near-flat 2022-2025
Profitability	Operating margin	40.1% (FY25)	40.1%	Trouged 2023 (37.7%); recovered since
Profitability	Net margin	28.9% (TTM)	27.8%	Range-bound 26.5%-29.9%
Profitability	Return on equity	39.7% (TTM)	39.9%	Declining from 57.5% (2022) as equity base rebuilds
Profitability	Return on invested capital	16.9% (TTM)	16.0%	Stable, 15.5%-17.3% range
Cash flow	Operating cash flow	US\$10.26bn (TTM)	US\$9.35bn	Stable, US\$8.4-9.4bn range
Cash flow	Free cash flow	US\$6.50bn (TTM)	US\$5.89bn	Volatile with capex cycle; US\$4.8-6.1bn range
Leverage	Net debt / EBITDA	2.26x (TTM)	2.51x	Peaked 2023 (2.78x); declining since
Valuation	Trailing P/E	24.4x	Not retrieved	n/a (point-in-time market data)
Valuation	EV / EBITDA	16.2x	Not retrieved	n/a (point-in-time market data)
Valuation	P / FCF	27.6x	Not retrieved	n/a (point-in-time market data)
Market	Beta	0.965	Not retrieved	n/a (trailing statistical measure)
Market	Annualized volatility	26.0% ^b	Not retrieved	n/a (trailing ~5-month window only)
Market	Maximum drawdown	-8.1% ^b	Not retrieved	n/a (trailing ~5-month window only)

a. "Current" reflects trailing-twelve-month (TTM) figures through the quarter ended 30 June 2026 for income-statement, cash-flow and leverage metrics, and the 19 August 2026 close for market and valuation data, as detailed in Sections B and C. Gross margin is omitted as not meaningful: Union Pacific, like other Class I railroads, does not report a cost-of-goods-sold / gross-profit distinction, and third-party normalized data for this line item was inconsistent between fiscal years and is not presented in place of a reliable figure. b. Calculated over the available ~100 trading-day window (27 March 2026 - 19 August 2026); not a full-year statistic.

G. Sources and Methodology

Primary sources

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Logistics Management: "Industry groups signal opposition to proposed Union Pacific-Norfolk Southern merger"

April 2026. Shipper- and industry-group opposition detail. https://www.logisticsmgmt.com/article/industry_groups_signal_opposition_to_proposed_union_pacific_norfolk_southern_merger/lm_april_2026

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Industry reference, accessed August 2026. Industry structure background. <https://www.railstate.com/the-ultimate-guide-to-railroad-classes-defining-class-i-class-ii-and-class-iii-railroads/>

Market data

Alpha Vantage: Company Overview, Global Quote, Daily Time Series, Income Statement, Balance Sheet, Cash Flow, Earnings, Dividends, Splits, Insider Transactions and Institutional Holdings data feeds

Data as of 19 August 2026 unless otherwise noted in-text. Used for all reported financial-statement figures, market price and return data, valuation multiples, insider and institutional ownership data for Union Pacific (UNP) and for peer issuers CSX, Norfolk Southern (NSC), Canadian National (CNI) and CPKC (CP). <https://www.alphavantage.co>

Calculations performed by the analyst

EBIT, EBITDA, effective tax rate, free cash flow, net debt, working capital, total debt, ROE, ROIC, ROA, asset turnover, FCF margin, cash conversion, debt/equity, net debt/EBITDA, market capitalization, enterprise value, all valuation multiples as of the 19 August 2026 close, the standalone discounted cash flow model and its sensitivity grid, WACC, annualized volatility, maximum drawdown, RSI(14) and MACD(12,26,9), all calculated by the analyst from the reported source data identified above, using the methodologies stated in the relevant section footnotes.

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